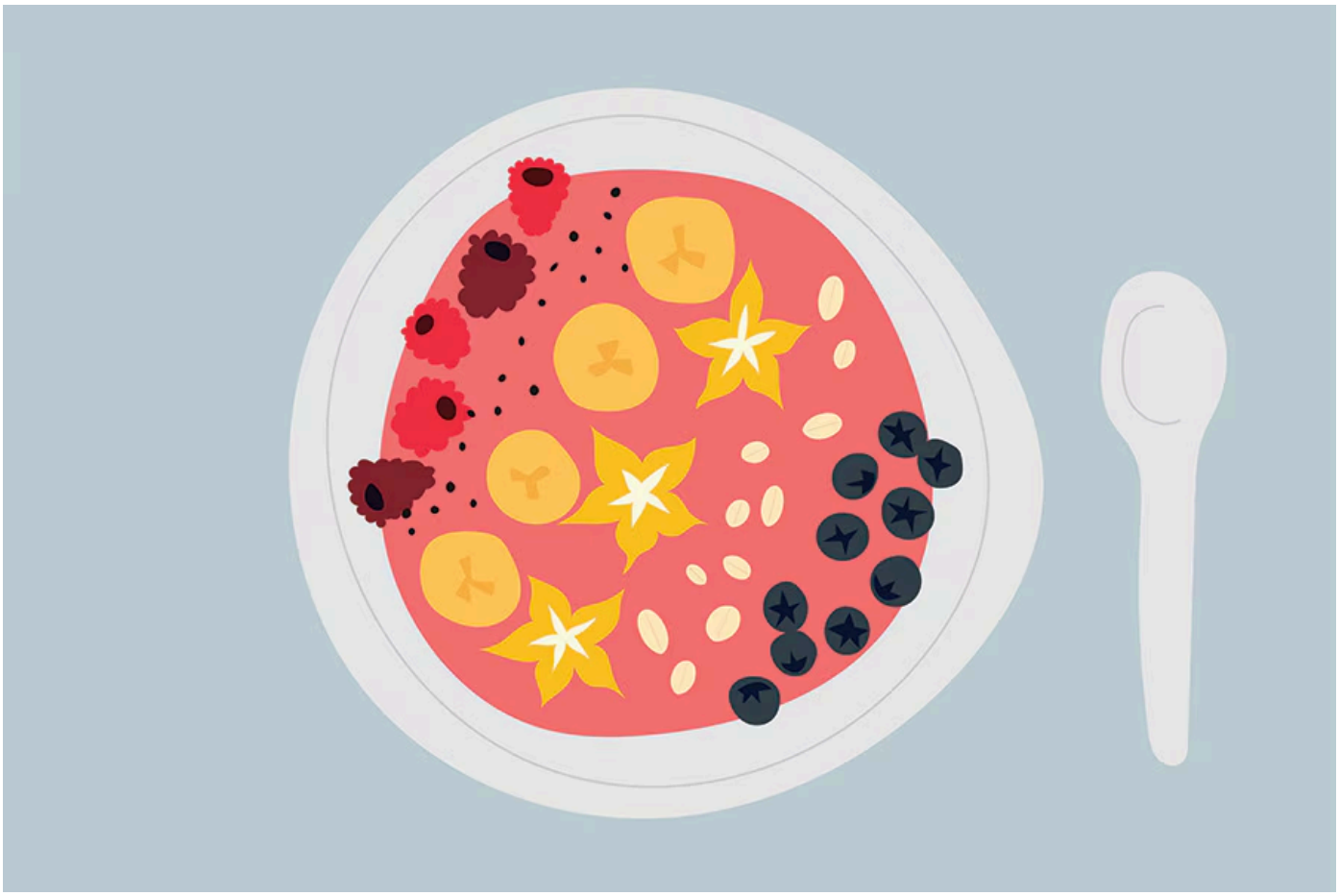
RETIREMENT INCOME >

What Should Your Retirement Portfolio Include?

As your goals change, so will your portfolio. But you need to strike the right balance.

February 27, 2025



As exciting as the prospect of retirement is, it can also feel daunting. Not only do you have to start living off your savings, but you also need to make sure you don't run out of money. So, how do you build a retirement portfolio that serves both purposes?

"It's all about striking the right balance between preservation and growth," said Rob Williams, managing director of financial planning, retirement income, and wealth management at the Schwab Center for Financial Research. "After all, when you need your savings to last 30 years or more, being too conservative too soon can put your portfolio's longevity at risk."

With that in mind, here are three tips for creating a retirement portfolio that's more likely to go the distance.

1. Protect your downside

Making a big withdrawal from your retirement savings in the midst of a downturn can have a negative impact on your portfolio over the long term. To help protect against that possibility, it's a good idea to add two safety nets to your retirement portfolio:

- **A year's worth of spending cash:** At the start of every year, make sure you have enough cash on hand to supplement your regular annual income from annuities, pensions, Social Security, rental, and other regular income. Hold the money in a relatively safe, liquid account, such as an interest-bearing bank account or money market fund.
- **Two to four years' worth of living expenses:** From the 1960s through 2023, the average peak-to-peak recovery time for a diversified index of stocks in bear markets was roughly three and a half years.[1] So, it's wise to keep two to four years' worth of living expenses in short-term bonds, certificates of deposit (CD), or other reasonably liquid accounts. [2] This way, you'll have access to cash during a downturn if you need it without selling stocks.

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2. Balance income and growth

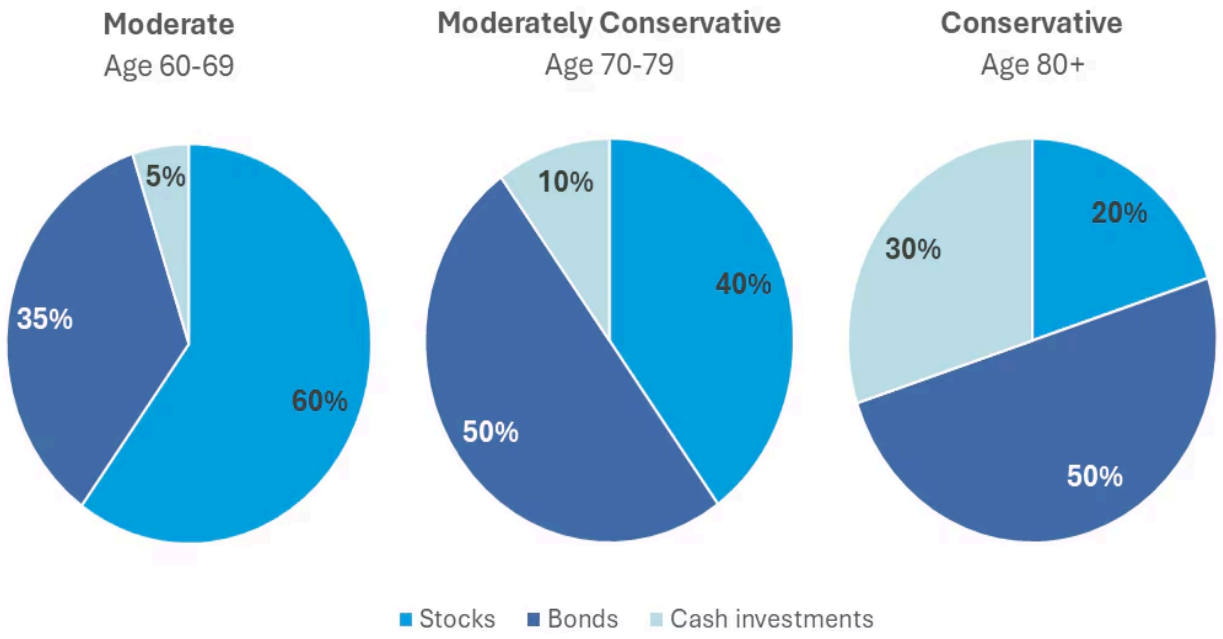
Once you have your short-term reserves in place, it's time to allocate the remainder of your portfolio to investments that align with your goals, time horizon, and risk tolerance. Ideally, you'll choose a mix of stocks, bonds, and cash investments that will work together to generate a steady stream of retirement income and future growth—all while helping preserve your money. For example, you could:

- **Build a bond ladder:** Purchasing bonds with staggered coupon and maturity dates can help even out your portfolio's yields over time and provide a steady flow of income. [3]
- **Opt for dividend-payers:** Consider adding some dividend-paying stocks to your portfolio. Not only do they offer the potential for a regular stream of income, but they also allow your principal to remain invested for potential growth. [4]
- **Stick with stocks:** Make sure you don't dial back your exposure to stocks too soon. Having a larger allocation of stocks in the early years of retirement can help guard against the risk of outliving your retirement savings. Later on, you can adjust your allocation to focus more on generating income and preserving your money.

Shifting your strategy

Investors in the early years of retirement may want a greater allocation to stocks to guard against longevity risk, while those in their later years will want to prioritize income generation and capital preservation.

At age 60–69, consider a moderate portfolio (60% stock, 35% bonds, 5% cash/cash investments); 70–79, moderately conservative (40% stock, 50% bonds, 10% cash/cash investments); 80 and above, conservative (20% stock, 50% bonds, 30% cash/cash investments). [5]



This example is hypothetical and provided for illustrative purposes only.

3. Consider all your income sources

As you put together your retirement portfolio, you also need to think about the role your savings will play in your overall income plan. For example, how much income do you expect from guaranteed sources like annuities, pensions, and Social Security? [6]

"If these income streams generate enough income to cover the majority of your expenses, you might be able to maintain a more aggressive stance with your portfolio well into retirement," Williams said. "Conversely, if you'll rely on your portfolio for the majority of your income, you'll need to take a more balanced approach with your investments."

Read next

Go to How to Plan Your Retirement Withdrawal Strategy or see our retirement income series.

1. Schwab Center for Financial Research with data provided by Bloomberg. Research identifies periods in which the S&P 500® Index fell 20% or more over at least three months. Time to recovery is the length of time it took the S&P 500 to complete its peak-to-trough decline and then rise to its prior peak. Past performance does not guarantee future results. Indexes are unmanaged, do not incur management fees, costs, and expenses and cannot be invested in directly. For more information on indexes please see www.schwab.com/indexdefinitions.

2. Fixed income securities are subject to increased loss of principal during periods of rising interest rates. Fixed income investments are subject to various other risks including changes in credit quality, market valuations, liquidity, prepayments, early redemption, corporate events, tax ramifications, and other factors.

3. A bond ladder, depending on the types and amount of securities within the ladder, may not ensure adequate diversification of your investment portfolio. This potential lack of diversification may result in heightened volatility of the value of your portfolio. You must perform your own evaluation of whether a bond ladder and the securities held within it are consistent with your investment objective, risk tolerance, and financial circumstances.

4. There are the risks associated with investing in dividend paying stocks, including but not limited to the risk that stocks may reduce or stop paying dividends.

5. Diversification and asset allocation strategies do not ensure a profit and do not protect against losses in declining markets.

6. Guarantees are subject to the terms and conditions of the contract and the financial strength and claims-paying ability of the issuing insurance company, not Schwab, and do not apply to the separate account or the underlying portfolios available with the contract. Schwab does not provide any insurance guarantees.

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Article | Feb 4, 2026